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MASTER SUPPLY AGREEMENT
CONTRACT EXCERPT

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Effective Date: January 1, 2026
Expiration Date: December 31, 2026
Contract ID: MSA-SHELL-2026-001
Parties:
Supplier: Shell Energy Trading SARL
Buyer: Meridian Resources Inc.

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1. PRODUCTS AND SPECIFICATIONS

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1.1 The Supplier agrees to supply the following products during the Term:

(a) Brent Crude Oil (Dated Brent)

- Quality Grade: API 38° ± 1°, Sulfur content ≤ 0.40% by weight
- Testing Standards: ASTM D2786, D2622
- Minimum Annual Volume: 50,000 barrels
- Price Basis: Dated Brent at loading port + premium/discount

(b) WTI Crude Oil (Light Sweet)

- Quality Grade: API 40° ± 1°, Sulfur content ≤ 0.42% by weight
- Testing Standards: ASTM D2786
- Pricing: WTI at Cushing + transportation cost

1.2 All products shall be delivered in compliance with international standards and regulatory requirements of the destination country.

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2. PRICING AND PAYMENT TERMS

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2.1 Product Pricing:

The price for each delivery shall be determined by reference to:

- Published commodity benchmarks (Platts, Bloomberg)
- Adjustment for quality variance per specifications
- Delivery location differential (Incoterms 2020)

2.2 Payment:

- (a) Payment Method: SWIFT bank transfer in USD
- (b) Payment Terms: Net 30 days from Bill of Lading date
- (c) Early Payment Discount: 1% discount if paid within 10 calendar days
- (d) Late Payment: 2.0% per annum penalty on outstanding balance

2.3 Currency:

All prices and payments shall be in USD unless otherwise agreed.

3. DELIVERY TERMS

3.1 Incoterms:

Delivery shall be on FOB (Free on Board) basis per Incoterms 2020, with loading at Rotterdam (ARA) or alternative port as agreed.

3.2 Loading Schedule:

- Supplier shall provide 10 business days' notice for loading windows
- Loading shall occur during normal business hours
- Demurrage charges: \$15,000 USD per day after 5 free days

3.3 Quality Inspection:

- Third-party inspection (SGS, Saybolt) at loading port
- Buyer has right to reject non-conforming goods within 10 days
- Rejected goods shall be returned at Supplier's expense

4. FORCE MAJEURE

4.1 Neither party shall be liable for delays or non-performance caused by:

- Acts of God (earthquakes, floods, hurricanes)
- War, terrorism, or governmental action
- Strikes, lockouts, or labor disputes

- Equipment failure or technical breakdowns

4.2 The affected party must provide notice within 5 business days with supporting documentation and reasonable timeline for resumption.

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5. DISPUTE RESOLUTION

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5.1 Governing Law:

This Agreement shall be governed by English law.

5.2 Arbitration:

Any disputes arising from this Agreement shall be resolved by arbitration under the London Maritime Arbitration Rules (LMAR), with seat of arbitration in London, United Kingdom.

5.3 The arbitration panel shall consist of three arbitrators.

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6. TERM AND TERMINATION

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6.1 Initial Term: One (1) year from Effective Date

6.2 Renewal: Agreement shall automatically renew for successive one-year periods unless either party provides 60 days' written notice.

6.3 Termination for Cause:

Either party may terminate immediately if:

- Other party materially breaches and fails to cure within 20 days
- Other party becomes insolvent or bankrupt
- Payment remains overdue for 60+ days

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7. CONFIDENTIALITY

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7.1 Each party agrees to maintain confidentiality of all commercial terms, volumes, and pricing information except as required by law.

7.2 Confidentiality obligations survive termination for 3 years.

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[SIGNATURE PAGE FOLLOWS]

Executed as of July 1, 2026:

For Supplier (Shell Energy Trading SARL):

Name: _____

Title: Regional Manager - Trading

Date: _____

For Buyer (Meridian Resources Inc.):

Name: _____

Title: VP Commercial

Date: _____

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